

KISII SCHOOL 2025 PREDICTION



(KCSE PRE-ANALYSIS TEST)

565/2

BUSINESS STUDIES

PAPER 2

TIME: 2½ HOURS



NAME.....

SCHOOL..... SIGN.....

INDEX NO..... ADM NO.....

(Kenya Certificate of Secondary Education)

INSTRUCTIONS TO CANDIDATES

- a) Write your name, and Index number in the spaces provided above*
- b) Sign and write the date of examination in the spaces provided above*
- c) This paper consists of **Six** questions.*
- d) Answer **any five** questions in the spaces provided after questions 6.*
- e) All questions carry equal marks*
- f) Candidates should answer the questions in English.*

For Examiner's Use only

Question	Maximum Score	Candidates Score
	20	
	20	
	20	
	20	
	20	
	TOTAL SCORE	

1. a) Describe the procedure of making an insurance claim. (10marks)

b) Outline five factors to consider when selecting means of reproducing documents.

(10marks)

2 .a) Explain five disadvantages that a developing country may suffer by liberalizing foreign trade

(10marks)

b) Explain five factors that may hinder economic development in Kenya. (10marks)

3. a) Explain four resources found in a business enterprise. (8marks)

b) Mworio limited operates a whole sale business. During the month of March 2023, the company carried out the following transactions;

March 1 Credit sales to Mwikali and Njeri were shs. 200,000 and shs.180, 000 respectively.

March 2 Credit purchases from chebet shs.150, 000 wanbui shs, 700,000, Alfred shs.185,000.

They also paid advertisement expenses by cash sh.48, 000.

March 5 Credit sales to Abdallah shs.175, 000,Mwangi shs.320,000 and Mwikali shs.135,000

March 8 Goods returned by Mwikali shs. 2, 800 and Njeri shs. 3,100

March 12 Goods returned by Mworio Limited to Chebet shs. 30,000 and Alfred shs.25, 000

March 27 Paid Wambui her debt in cash after deducting a cash discount of 5%

March 28 Receive rent of shs.5, 200

March 29 Sold goods on credit to Njeri shs. 220,000 and Phiniah shs.150, 000

March 30 Goods returned by Phiniah shs.2, 300

Required:

From the information given, prepare

a) Sales journal

ii) Sales returns journal (12marks)

4. a) Explain five forms of economic integration. (10marks)

- b) Describe five channels of distribution that Hannan manufacturer's ltd can use to distribute their products in Kenya

5.a) The following transactions were extracted from the books of Memsi Traders on 1st January 2023

shs	
Capital	600,000
Creditor	180,000
Motor van	200,000
Furniture	200,000
Stock	60,000
Debtors	80,000
Cash	240,000

The following transactions took place during the year ended 31st January 2023

- i. Sold furniture worth sh. 60,000 for which sh.40,000 Cash was received and the balance was due at the end of the month.
- ii. Purchased goods worth sh.100,000 for which cash of shs.70,000 was paid and the balance was still outstanding at the end of the month
- iii. Cash of shs. 10,000 was taken from the business by the proprietor for personal use

Required: Prepare Memsi's balance sheet as at 31st January 2023 **(10marks)**

- b) Distinguish between perfect competition market structure and oligopolistic market structure.

(10marks)

- 6. a)** In the recent past celebrities and other social influencers have been instrumental in promoting products over the TIK TOK social media platform. Explain five benefit that business enterprise may enjoy by using social media platform in sales promotion. **(10marks)**

- b) Explain five purposes of public finance. **(10marks)**